Civil Resolution Tribunal

Date Issued: January 16, 2019

File: SC-2018-003600

Type: Small Claims

Civil Resolution Tribunal

Indexed as: *ACME TRANSPORT LTD v. PLANET EXPRESS TRANSPORT LTD*, 2019 BCCRT 63

B E T W E E N :

ACME TRANSPORT LTD

APPLICANT

A N D :

PLANET EXPRESS TRANSPORT LTD

RESPONDENT

REASONS FOR DECISION

Tribunal Member: Shelley Lopez, Vice Chair

INTRODUCTION

1. This dispute is about unpaid freight delivery charges. The applicant carrier, ACME TRANSPORT LTD, claims payment of $4,450 for 2 invoices, plus interest. The respondent freight broker, PLANET EXPRESS TRANSPORT LTD, says the third party shipper, RBI, reported 1 of the 2 loads was damaged, and alleges the applicant failed to process an insurance claim. The respondent submits that because it was not paid by RBI, it does not have to pay the applicant.

2. The applicant is represented by Amarjit Kailey, an employee or principal. The respondent is represented by Jaskam Ke, an employee or principal.

3. For the reasons that follow, I allow the applicant's claims.

JURISDICTION AND PROCEDURE

4. These are the formal written reasons of the Civil Resolution Tribunal (tribunal). The tribunal has jurisdiction over small claims brought under section 118 of the *Civil Resolution Tribunal Act* (Act). The tribunal's mandate is to provide dispute resolution services accessibly, quickly, economically, informally, and flexibly. In resolving disputes, the tribunal must apply principles of law and fairness, and recognize any relationships between parties to a dispute that will likely continue after the dispute resolution process has ended.

5. The tribunal has discretion to decide the format of the hearing, including by writing, telephone, videoconferencing, email, or a combination of these. In the circumstances here, I find that I am properly able to assess and weigh the documentary evidence and submissions before me. Further, bearing in mind the tribunal's mandate that includes proportionality and a speedy resolution of disputes, I find that an oral hearing is not necessary. I also note that in *Yas v. Pope*, 2018 BCSC 282 at paragraphs 32 to 38, the BC Supreme Court recognized the tribunal's process and found that oral hearings are not necessarily required where credibility is in issue. The tribunal may accept as evidence information that it considers

relevant, necessary and appropriate, whether or not the information would be admissible in a court of law. The tribunal may also ask questions of the parties and witnesses and inform itself in any other way it considers appropriate.

6. Under tribunal rule 126, in resolving this dispute the tribunal may order a party to do or stop doing something, order a party to pay money, or order any other terms or conditions the tribunal considers appropriate.

7. To the extent the parties respectively make allegations of defamation, I have not considered them, because defamation is expressly outside the tribunal's jurisdiction.

ISSUE

8. The issue in this dispute is to what extent, if any, the applicant is entitled to payment of its invoices totaling $4,450, plus interest, for 2 freight deliveries.

EVIDENCE AND ANALYSIS

9. In a civil claim such as this, the applicant bears the burden of proof on a balance of probabilities. I have only addressed the evidence and submissions below as necessary to explain my decision.

10. It is undisputed the applicant hauled 2 loads at the respondent's request: #5101 and #5098. I find the respondent is responsible to pay the applicant's invoices, as discussed below.

11. Invoice #5101, dated August 17, 2016, is for $2,220 for an August 13, 2016 delivery from a combination of various Lower Mainland shippers to Edmonton. This shipment contained kitchen cabinets, mouldings, and related construction items. There is no suggestion that invoice #5101 was delivered damaged or that there was any other concern about this shipment. There is no explanation before me as to why the respondent has not paid the applicant's invoice #5101, and there is no evidence the applicant's calculations are incorrect. I order the respondent to pay invoice #5101.

12. Invoice #5098, dated November 26, 2016, is for $2,250, for an August 15, 2016 delivery from AVS Windows in Surrey, BC to RBI Construction (RBI) in Calgary, AB. It appears RBI was the entity who hired the respondent, and as noted above, the respondent hired the applicant to carry and deliver the goods.

13. Invoice #5098 includes $450 in "waiting time". The bill of lading shows the driver arrived at 9 a.m. and left at 8:15 p.m. This supports the applicant's undisputed submission that the receiver at RBI spent a significant amount of time inspecting the load. As set out on the bill of lading, this shipment contained 74 pieces, with the item description "windows". On its face, the bill of lading required written notice to the applicant carrier of any damage within 60 days of delivery. As submitted by the applicant, there is no indication on the bill of lading of any concern about the delivery, and the receiver RBI signed for it.

14. Based on the evidence before me, on December 19, 2016 RBI's lawyer first wrote to the applicant about alleged damage to "more than 75%" of the windows, well after the 60-day limit set out in the bill of lading for shipment #5098. While the respondent stated in a similar January 24, 2017 letter that it immediately contacted the applicant about the damaged windows, there is no evidence that it did so and no evidence that it did so in writing as required. RBI is not a party to this dispute, which is about the applicant's demand for payment of its invoices issued to the respondent.

15. The respondent asked the applicant to pursue an insurance claim for shipment #5098, which is mentioned in their January 24, 2017 letter. The applicant did so by early February 2017. It is unclear what came of this claim, but I find it does not impact the respondent's obligation to pay the applicant. I say this because I find the evidence before me shows the windows were delivered undamaged, and even if they were damaged, the applicant is not responsible for the damage.

16. In particular, as referenced above it is undisputed both shipments were delivered with clean bills of lading and receiver signatures. RBI's receiver inspected the shipment thoroughly while the applicant's driver waited all day, for almost 12 hours.

I find there was no defect or damage found on the receiver's detailed inspection of the shipment. If 75% of the windows had been damaged at the time of delivery, I find it more likely that RBI's receiver would have noticed it during its detailed inspection.

17. Further, as set out in the bill of lading, if there is any damage, the carrier must be notified within 60 days of delivery. Based on the evidence before me, no one notified the applicant in writing within 60 days. Based on the documentation before me, the first time the respondent raised a concern was February 1, 2017, more than 6 months after delivery, and RBI's letter was in December 2016, outside the 60 day timeframe. I find the bill of lading governed the parties' conduct about damage claims.

18. I acknowledge the respondent provided photos of damaged windows. However, as noted by the applicant, these photos are undated and on the face of them I cannot tell which shipment they come from or when the damage occurred. The respondent does not deny it brokered another shipment of windows for RBI which another carrier delivered. Even if these photos are of shipment #5098, I cannot tell if the windows were damaged after the applicant delivered them. I prefer the receiver's clean bill of lading as the better evidence that the windows were delivered by the applicant undamaged. As also noted by the applicant, the respondent's correspondence refers to a damaged shipment containing 113 pieces, but shipment #5098 only had 74 pieces. The respondent says the claim shows 113 pieces "because some pieces count is not the windows". This explanation is unclear and ultimately not helpful, given the bill of lading clearly identified only 74 pieces being shipped, total. This discrepancy leads me to conclude the respondent's evidence is not reliable.

19. I do acknowledge an email thread between the parties and an insurer. There is one entry that indicates the applicant's driver discovered "window was broken in Calgary" and the RBI drop off site was a construction zone (all quotes reproduced as written). It is unclear what was intended by that comment, but I find it does not

suggest negligence by the applicant. The statement went on to say "No accident report to the company from the driver maybe strapped too tight owner thinks it is common in that loss location". The evidence before me does not indicate the applicant carrier was responsible for loading and strapping the windows in shipment #5098. Thus, even if the windows were damaged during transport, the evidence does not show it was due to the applicant's negligence.

20. I note the respondent provided a voice recording, which is legal in Canada if one party to the recording is aware the recording is being made. However, there is no indication of who the speakers are, whether either of them knew they were being recorded, and the speakers are not speaking in English. The respondent did not provide any English translation and made no submissions about the recording. There is nothing I can draw from this non-English recording and I place no weight on it.

21. Contrary to the respondent's central submission, the fact that the respondent has not received payment from RBI for the applicant's services is not relevant to the respondent's obligation to pay the applicant. I have found above the applicant delivered #5098 undamaged and as also noted there was no issue with shipment #5101. I find the respondent must pay the applicant their invoices.

22. The respondent's point in this dispute is that it has not been paid by RBI, because RBI was not paid through the applicant's insurance. There is no evidence before me that requires the applicant to pursue an insurance claim for RBI, in order to receive payment from the respondent. As noted above, there is no dispute the applicant delivered the 2 shipments, as the respondent hired it to do. There is no dispute about the amount of the delivery charges. I have found the applicant delivered the goods undamaged and in any event there is no evidence before me that the applicant was negligent. Nothing turns on the insurance issue.

23. I also note that the respondent submits, "If I can get the money from RBI, we can pay you in full no problem at all". I note the respondent's submission it started a separate tribunal proceeding against RBI and the respondent's reference to a

provincial court action, which I infer relates to an enforcement proceeding. Again, payment by RBI is an issue between the respondent and RBI, which is not a party to the dispute before me. I reject the respondent's submission that shipment #5098 is pending and that its shipment is not concluded. The load was delivered under the parties' agreement, as noted by the receiver's signature.

24. I turn to the applicant's interest claim of $285.55. I note the applicant's invoice terms are "net 30", and on their face state that 2% monthly interest (24% per year) applies to all overdue accounts.

25. The 2% monthly interest rate equals 24% annual interest, which I find would result in a total interest calculation of $2,207.32 for both invoices, to the date of this decision. However, as noted the applicant claimed only the specific amount of $285.55 in interest for both invoices, and so that is what I allow.

26. In any event, I note there is an argument to be made that contractual interest (unlike pre-judgment interest under the *Court Order Interest Act*) is a substantive claim that must together with the principal debt fall under the tribunal's $5,000 monetary limit (see *Telus Services Inc. v. Hussey*, 2016 BCPC 41 and *Canadian Tire Bank v. Konkin*, 2018 BCPC 151, although these cases considered the *Small Claims Act*, rather than the Act). I mention this here given the significant difference between the $285.55 claimed and the $2,207.32 calculation based on 24% annual interest. In other words, given the tribunal's $5,000 monetary limit it is possible the applicant's total contractual interest in this tribunal proceeding would be limited to $550, from the invoices' due dates to the date of this decision. However, I do not need to decide that issue here, as the applicant limited their interest claim to $285.55.

27. In accordance with the Act and the tribunal rules, ordinarily a successful applicant is entitled to reimbursement of tribunal fees and reasonable dispute-related expenses. The applicant was successful. I therefore find it is entitled to reimbursement of $175 in tribunal fees and $31.50 for a company search.

ORDERS

28. Within 14 days of this decision, I order the respondent to pay the applicant a total of $4,942.05, broken down as follows:

    a. $4,450 in debt for outstanding invoices for shipments #5101 and #5098,

    b. $285.55 in pre-judgment interest, and

    c. $206.50, for $175 in tribunal fees and $31.50 in dispute-related expenses.

29. The applicant is entitled to post-judgment interest, as applicable.

30. Under section 48 of the Act, the tribunal will not provide the parties with the Order giving final effect to this decision until the time for making a notice of objection under section 56.1(2) has expired and no notice of objection has been made. The time for filing a notice of objection is 28 days after the party receives notice of the tribunal's final decision.

31. Under section 58.1 of the Act, a validated copy of the tribunal's order can be enforced through the Provincial Court of British Columbia. A tribunal order can only be enforced if it is an approved consent resolution order, or, if no objection has been made and the time for filing a notice of objection has passed. Once filed, a tribunal order has the same force and effect as an order of the Provincial Court of British Columbia.

Shelley Lopez, Vice Chair